

Ultra Sound Money: Ethereum's Supply Dynamics & Monetary Thesis

Post-Merge Economics | Current
Supply ~121.6M ETH | Gas ~0.1 Gwei
| Price ~\$2,243

ETH Supply Growing at +0.83%/Year with Only 192 ETH

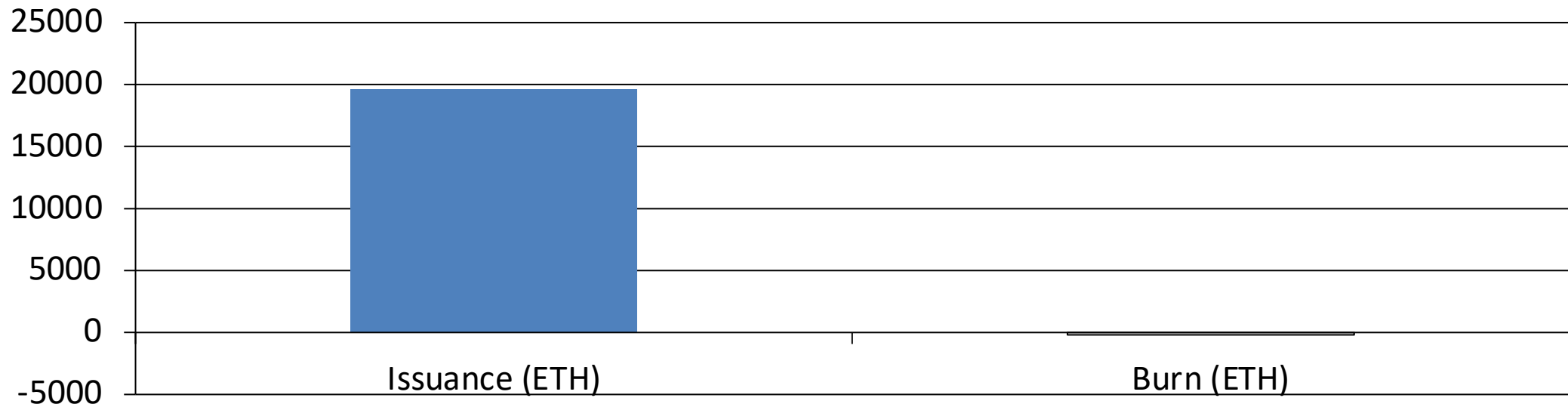
Burned in 7 Days

7-Day Net Supply Change: +194,458 ETH (+0.83% Year)

Current Total Supply: 121,603,980 ETH

Offset Ratio: 0.01x (Burns offset ~1% of new issuance)

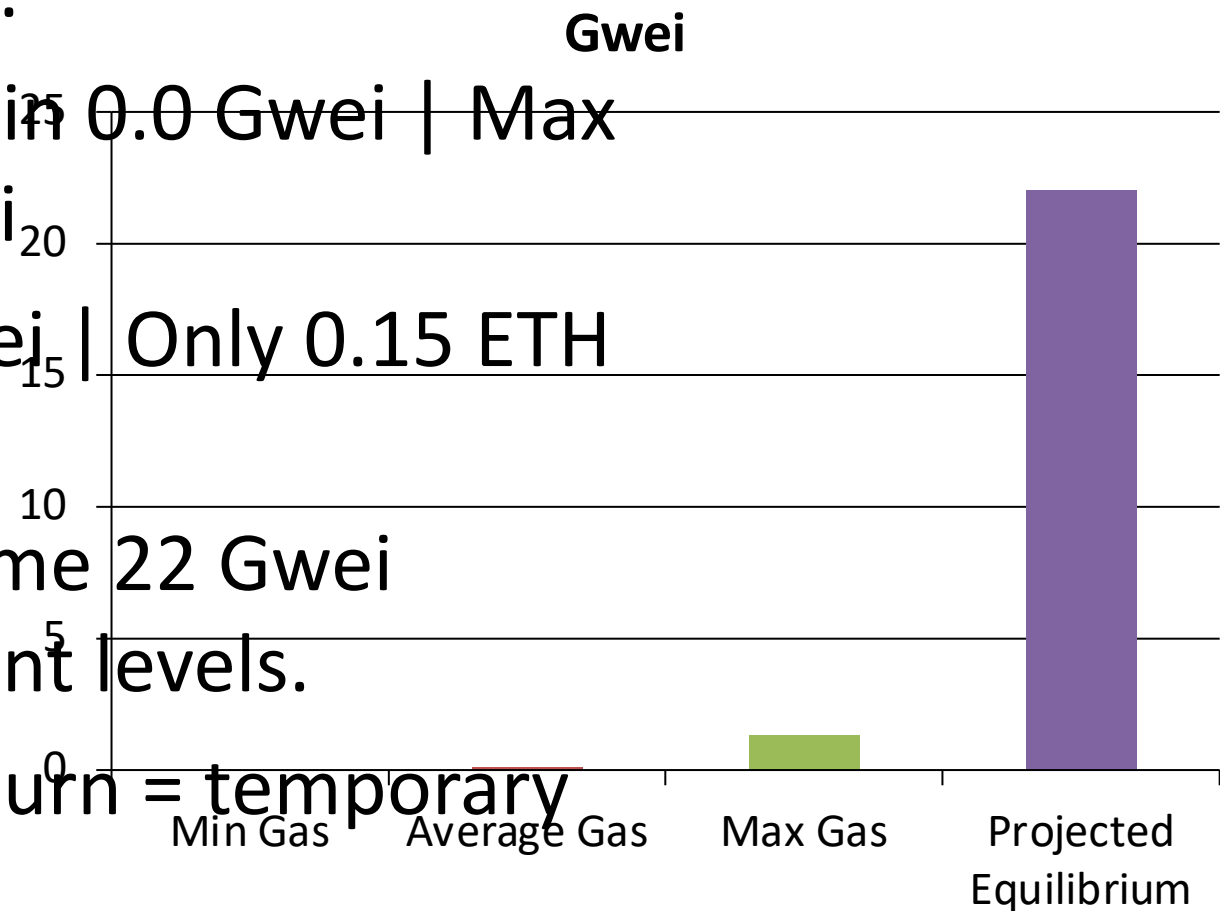
7-Day Dynamics



Base Gas at Historic Lows: 0.1 Gwei

Average Suppresses Fee Burn

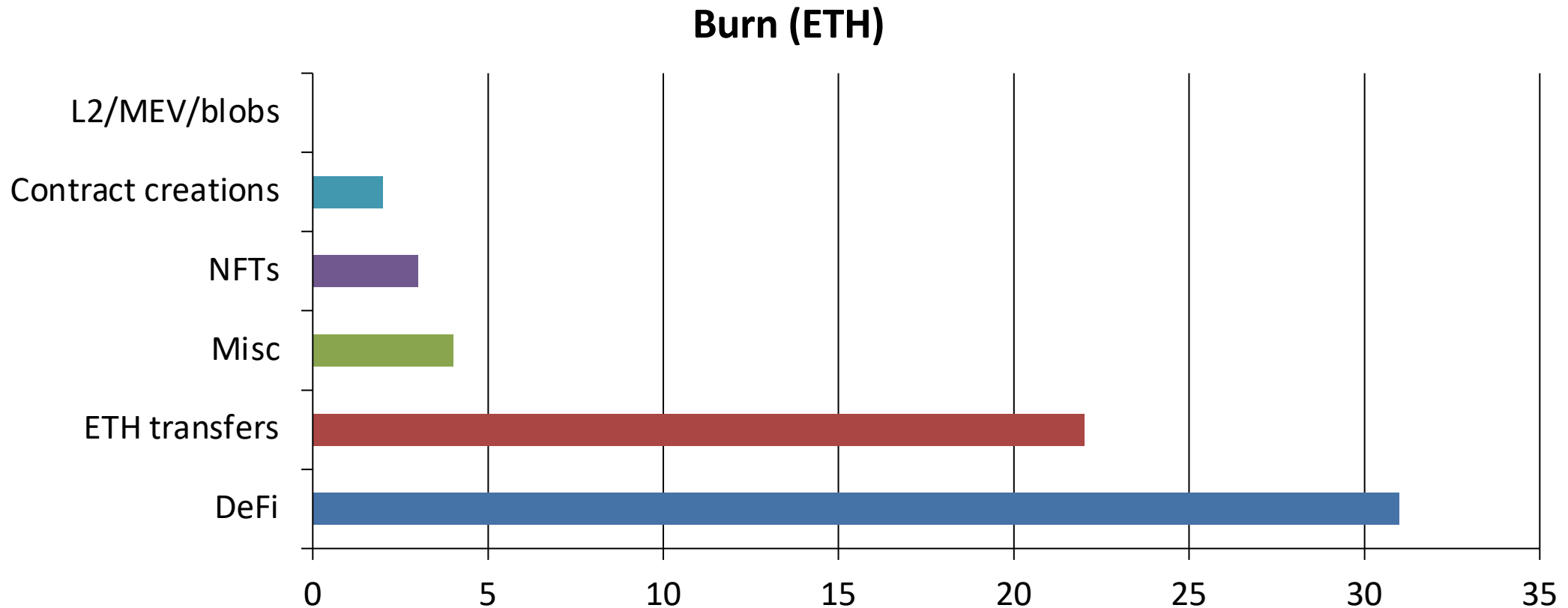
- EIP-1559 Mechanism Status:
- Gas Market Data (7-Day): Min 0.0 Gwei | Max 1.3 Gwei | Average 0.1 Gwei
- Blob Gas: Average ~7.1M wei | Only 0.15 ETH in blob fees burned (\$319)
- Long-Term Projections assume 22 Gwei equilibrium, far above current levels.
- Conclusion: Low gas = low burn = temporary supply inflation.



DeFi and ETH Transfers Account for 85% of Weekly Fee Burn

Top Burners: ETH transfers (21.7 ETH), Tether (13.6 ETH)

Total 7-Day Burn: ~192 ETH



38.9M ETH Staked at 2.7% Issuance

Rewards with Minimal Tips and

MEV

Staking Overview:

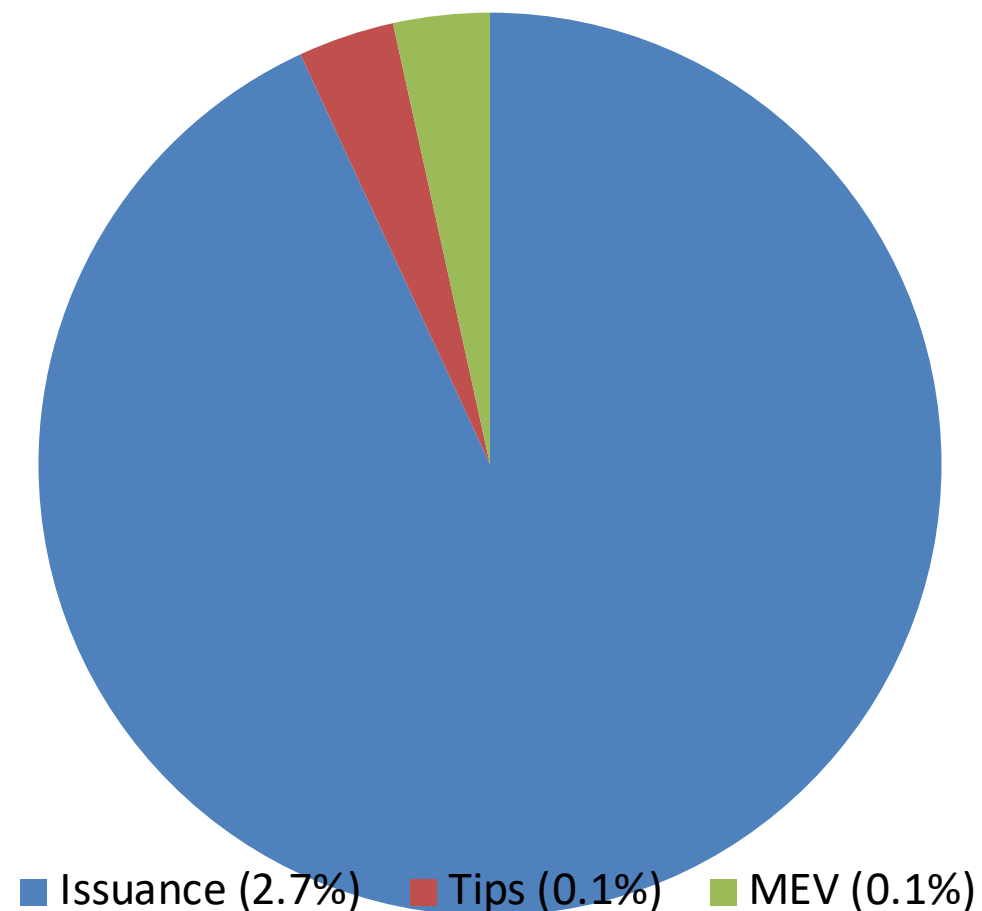
Total Staked: 38.9M ETH (~32% of supply)

Scarcity Engine: Staking contracts lock 9.1M

ETH for an average of 10.7 years.

Total Yield: ~2.9% APR

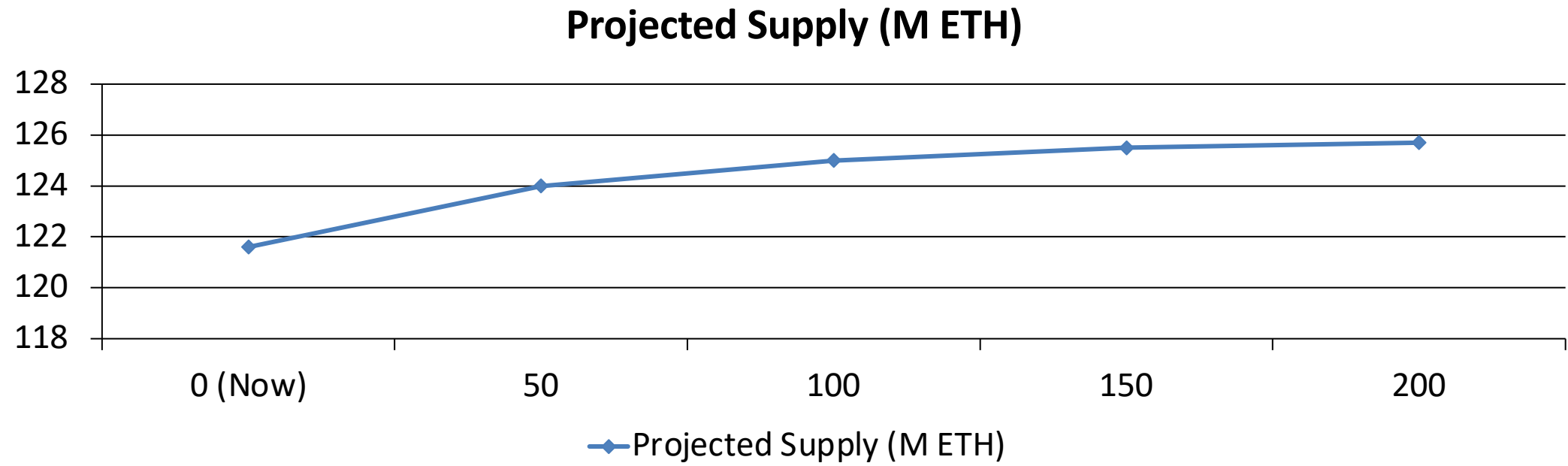
APR Breakdown



Long-Term Equilibrium Projected at 125.7M ETH with 1,037K ETH/Year

Issuance-Burn Balance

- Key Parameters for Convergence:
- 39M ETH Staked, 22 Gwei base gas assumption
 - 2.8K ETH/day PoS issuance vs 2.2K ETH/day burn
 - Historical Eras: Genesis (5 ETH/block) -> Merge PoW removal



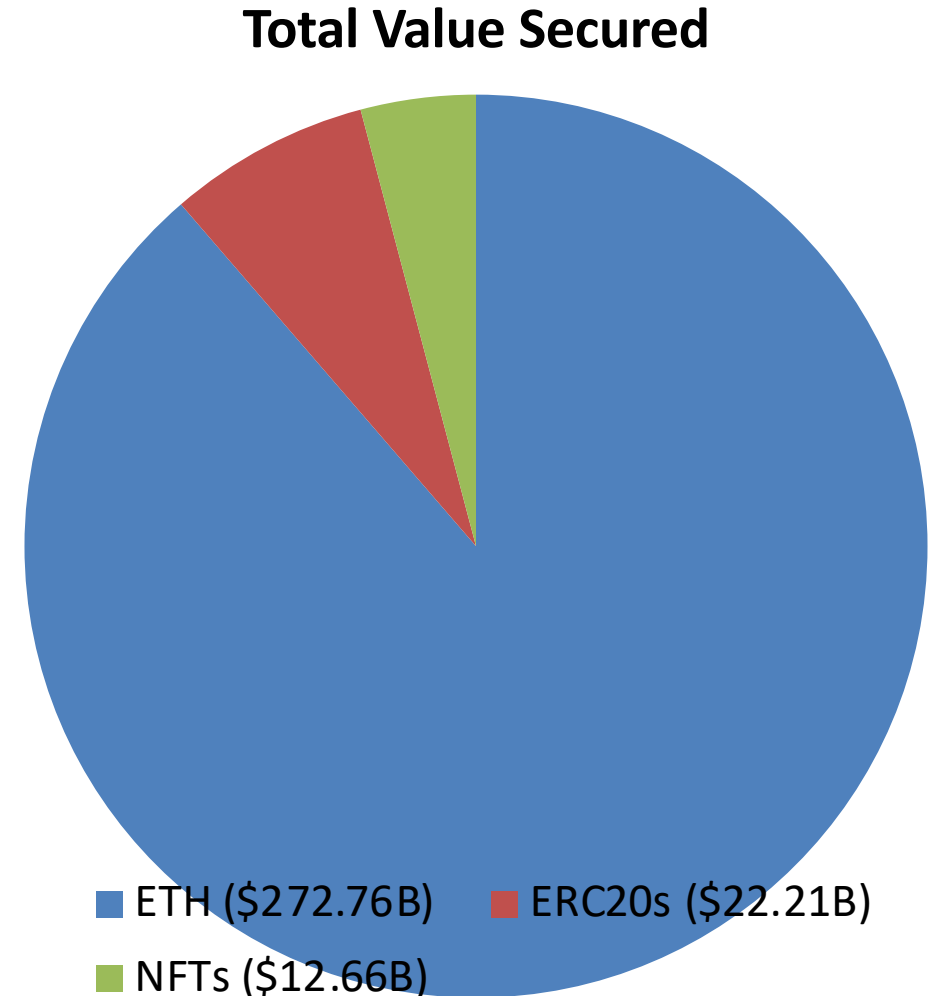
ETH at 18.7% of Bitcoin's Market Cap, Securing \$272B in Native Value

Flipping Metrics:

Bitcoin: 18.70% | Gold: 0.89% | USD: 1.30%

Top Assets Secured:

- Dai (\$4.41B)
- SHIB (\$3.51B)
- CryptoPunks (\$2.13B)



Key Takeaways: Ultra Sound Money Thesis Intact but Gas Activity Is the Critical Variable

- 1. ETH is currently slightly inflationary at +0.83%/yr due to historically low gas.
- 2. Burn mechanism works but requires sustained on-chain activity to be deflationary.
- 3. 38.9M ETH staked creates a significant supply lock.
- 4. Long-term equilibrium at 125.7M ETH is structurally sound under 22 Gwei assumption.
- 5. Flipping progress and \$307B+ TVS demonstrate growing monetary premium.